WHY HAS INFLATION PERSISTED?

As per the *Economic Survey 2012-13*, inflation in protein foods, particularly eggs, meat and fish, and in fruits & vegetables has persisted because of *changes in dietary habits* and *supply constraints*:

- Long time series data from National Accounts on *PFCE* (private final consumption expenditure) indicate a structural shift in per capita consumption. The share of food consumption in total consumption has declined over time, from an average of 51.34 per cent during 1950-60 to an average of 27.17 per cent during 2007-2012.
- Average annual growth in per capita food consumption at 0.94 per cent during 1950-2012 has been significantly lower than the overall growth in consumption averaging 1.84 per cent. The consumption of protein foods, though increasing more slowly than the increase in PFCE, had a growth of 1.50 per cent during 1950-2012, higher than the growth of overall expenditure on food. Therefore, the share of protein foods within overall food expenditure increased from 26.28 per cent during 1950-60 to 33.71 per cent during 2007-2012.
- A secular decline in expenditure on food relative to that in other commodities and services as expected has been associated with rising income levels.
- Average annual growth of per capita expenditure during 1950-2011 was 2.40 per cent for non-food group. Within non-food commodities and services, average annual growth was 5.53 per cent, 3.97 per cent, 3.60 per cent and 3.42 per cent for transport and communication; recreation and education; medical and health care; and miscellaneous goods and services, respectively. Growth in expenditure for these sub sectors significantly exceeded the growth in expenditure on food. *Post reform* period (1992-93 to 2010-11) has shown a faster shift in consumption expenditure.
- An *increase in income* made this desirable shift in consumption feasible. At national level, per capita income, adjusted for inflation continued to rise.